

INDEPENDENT SURVEY & LOSS ADJUSTMENT REPORT

Preliminary Report | Facultative Inward Reinsurance | Prepared by Pacific Marine & Industrial Surveyors
(Independent Adjuster)

Report Ref.	SR-2026-0142	Date of Report	10 June 2026
Insured	Orion Auto Parts Manufacturing Co., Ltd.	Policy No.	FA2026-0000000110
Class of Business	Property / Engineering (Package)	Cedant	Pacific Insurance (Fronting)
Date of Loss	21 May 2026	Date of Inspection	27 May 2026
Location / Risk	Plot 7, Trang Due Industrial Zone, Hai Phong, Vietnam		Fire / Explosion

1. Circumstances and Cause of Loss

On 21 May 2026 at approximately 02:40 local time, a fire broke out in the paint and coating line of the insured's automotive components plant. The night-shift supervisor reported flames originating from a powder-coating booth, which spread rapidly to adjacent stock racks before the local fire brigade brought the fire under control at around 05:10. Our inspection and the preliminary fire brigade statement indicate the most probable cause to be an electrical fault (overheating of a control panel) in the coating booth. Arson and external causes were not evidenced. Final confirmation is subject to the official fire brigade report.

2. Extent of Damage

Damage is concentrated in the western production hall (approx. 1,800 sqm). The powder-coating line, two CNC finishing machines and the overhead electrical busbar are extensively fire- and heat-damaged and considered beyond economic repair. The building steel structure and roof cladding over the affected bay show heat distortion requiring partial replacement. Finished-goods stock and raw materials stored in the immediate area were destroyed or smoke/water damaged. The remainder of the facility, including the main assembly hall, was unaffected and remains operational.

3. Quantum (Preliminary, Currency: USD)

Paid to date: USD 0 (no interim payment made). **Outstanding / Reserve:** USD 4,800,000. **Estimated total gross loss:** USD 5,200,000, comprising machinery & equipment approx. USD 3,300,000, building/structure approx. USD 1,200,000, and stock approx. USD 700,000. Figures are preliminary and exclude any business interruption, which is being quantified separately.

4. Policy Liability and Coverage Considerations

The loss appears to fall within the Property All Risks / Fire section of the cover, subject to policy terms. Points to verify: (a) the Electrical Apparatus Clause may limit indemnity on the originating control panel itself; (b) confirm sum insured adequacy and any average/under-insurance; (c) gradual deterioration, wear and tear are excluded and must be separated from fire damage; (d) confirm the warranty on fire-detection/sprinkler maintenance was complied with. No coverage decision is made in this report; liability remains to be confirmed by insurers.

5. Outstanding Information / Documents Required

To finalise quantum and liability we require: (1) official fire brigade / fire department report; (2) repair and replacement quotations for machinery and building; (3) stock records and purchase invoices for destroyed inventory; (4) the policy schedule and wording with endorsements; (5) maintenance records for the electrical installation; and (6) the business interruption claim calculation once prepared by the insured.

6. Surveyor's Comments and Reserve Recommendation

The loss is a genuine, fire-related single-risk event with no indication of fraud. We recommend maintaining a reserve of USD 4,800,000 pending receipt of the outstanding documents. Given the quantum, reinsurers' technical review under the applicable Property Risk XL programme is advised. A supplementary report with finalised figures will follow upon receipt of the documents listed above.

This document is a fictitious SAMPLE prepared solely for software demonstration purposes. All names, figures and locations are illustrative and do not represent a real loss.